

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

Let 's break down the problem step by step to determine the profit Josh made from flipping the house .

1 . **Calculate the total cost of the house and repairs : **

- Josh buys the house for \$ 80 , 000 .
- He spends an additional \$ 50 , 000 on repairs .
- To find the total cost , we add these two amounts together :

$$\begin{aligned} \text{Total cost} &= 80,000 + 50,000 \\ \text{Total cost} &= 130,000 \end{aligned}$$

2 . **Determine the increased value of the house : **

- The problem states that the value of the house increased by 150 % .
- To find the increase in value , we calculate 150 % of the original purchase price of the house :

$$\begin{aligned} \text{Increase in value} &= 150\% \times 80,000 \\ \text{Convert 150 \% to a decimal for calculation :} \\ 150\% &= 1.5 \\ \text{Now , multiply :} \\ \text{Increase in value} &= 1.5 \times 80,000 \\ \text{Increase in value} &= 120,000 \end{aligned}$$

3 . **Calculate the new value of the house : **

- Add the increase in value to the original purchase price to find the new value of the house :

$$\begin{aligned} \text{New value} &= 80,000 + 120,000 \\ \text{New value} &= 200,000 \end{aligned}$$

4 . **Determine the profit : **

- Profit is calculated by subtracting the total cost from the new value of the house :

$$\begin{aligned} \text{Profit} &= \text{New value} - \text{Total cost} \\ \text{Profit} &= 200,000 - 130,000 \\ \text{Profit} &= 70,000 \end{aligned}$$

Thus , the profit Josh made from flipping the house is \$ 70 , 000 .

<think>
1. Total cost = \$130,000
2. Increase in value = \$120,000
3. New value = \$200,000
4. Profit = \$70,000
</think>
<answer>70000</answer>